

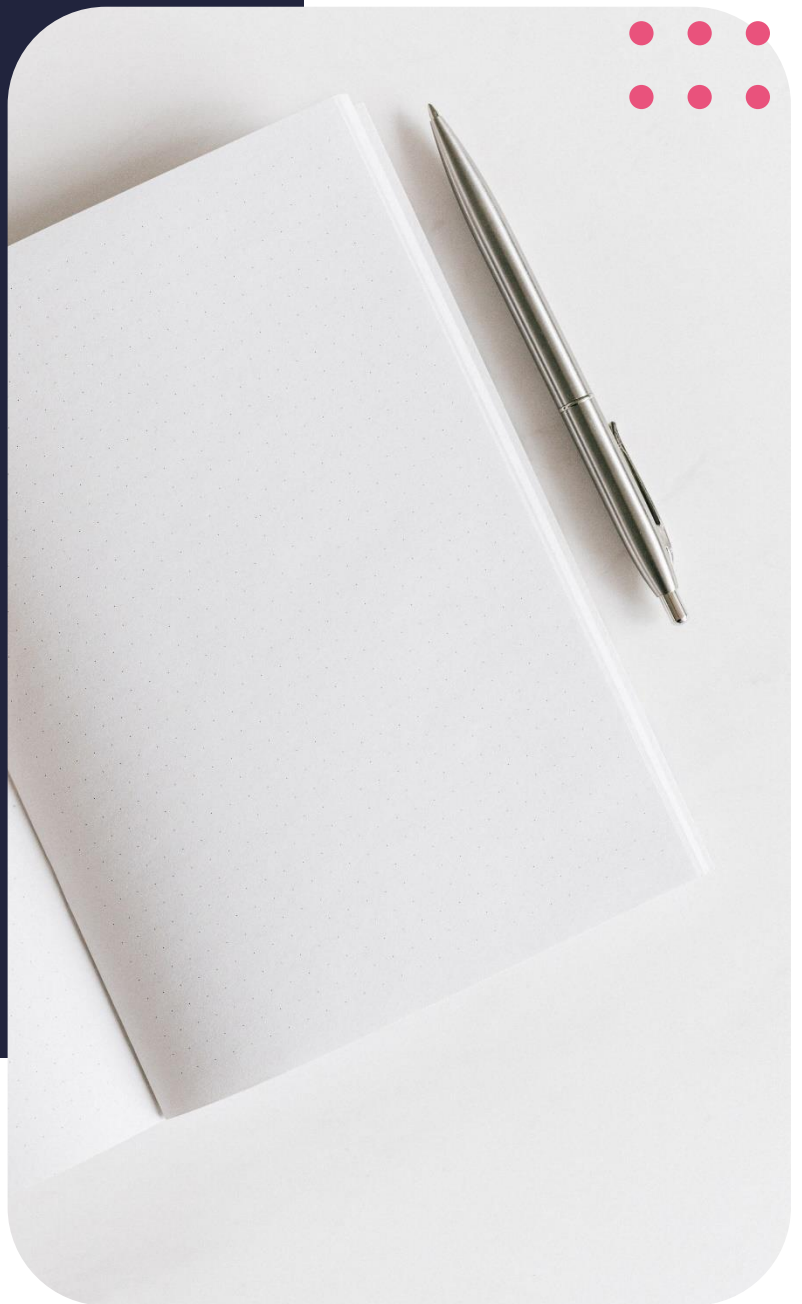
Diploma in Leadership & Management

Transactional and Transformational Leadership



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Lesson 4 Objectives

- Transactional leadership
- Transformational leadership

Lesson Introduction

Understanding your leadership style is essential in order to evaluate your strengths and weaknesses. The leadership styles give us a universal guide to different leaders.

James MacGregor said:

“Management is transactional and leadership is transformational”.

Let's see if he is right.

Key Reading Materials

- <https://online.stu.edu/articles/education/what-is-transactional-leadership.aspx>
- <https://www.verywellmind.com/what-is-transactional-leadership-2795317>
- <https://yscouts.com/10-transactional-leadership-characteristics/>
- <https://online.stu.edu/articles/education/what-is-transformational-leadership.aspx>
- <https://www.ckju.net/en/dossier/qualities-transformational-leaders-and-what-distinguishes-them-transactional-leaders>

Why you should know your leadership type

According to (Elizabeth, 2015), there are several reasons why all managers and leaders should know their leadership style.

A great way to help guide you is to ask the opinions of your employees. You can send out a survey and ask the employees to describe your leadership style. Make sure to keep the survey anonymous. This way you will be able to see your strengths and weaknesses. You will also be able to see how others perceive your leadership style compared to how you see yourself.

You can also take online quizzes to determine your leadership style and compare that to the results of the employee survey.

Benefits of knowing your leadership will include:

Communication

You can improve the way in which you speak and communicate with your employees. You can use the leadership style to determine where you need to improve.

Motivation

You will understand how you motivate your employees. You can also see if your current motivational style is working for your team or not. You can use a different motivational approach from a different leadership style that better works for your team.

Challenges

You will be able to understand yourself a lot better and then use that information to overcome challenges and issues more effectively. You're not stuck with one leadership style. You can use tactics from different types to improve your overall approach.

Types of leadership you find in the workplace

According to (Indeed, 2020) there are a lot of different leadership styles that we find in the workplace.

Coach

The leader and manager that looks to improve their team. This approach helps the employees improve a lot as they are getting the personal guidance that they need from their team leader or manager.

Examples: the manager has set up a personal development plan for each member of his or her team. This includes learning material, personal coaching meetings, workshops and much more.

Visionary

This leader is driving by their visions for the company or team. They will do everything they can to achieve their vision. This can also include having visions for systems or process that the leader wants to apply at work.

Examples: the leader sees that their employees have a lot of anxiety at work and they are not performing well. The leader set up mental health days at work and employees can work from home once a week to help centre them more effectively.

Servant leadership

This leader works to serve his or her team. The leader does not let his or her own need overshadow that of the cause they are serving. The leader looks at the needs of the company and employees and builds processes and systems around that to better lead the team.

Example: the leader calls a team meeting and discusses issues the employees have with the company. The leader then sets out to improve and better the issues as best he or she can.

Transactional leadership

According to (iEduNote, 2019) we can see the following aspects related to transactional leadership.

A transactional leader is expected to do the following

- Set goals and specific directions for employees to follow in order to get the reward
 - Give the employees feedback on their performance
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- Working with rules and process to increase efficiency of the company
- Establish standardized practices for the entire company to follow
- Respond to deviations and correct the actions in order to meet objectives

Characteristics of transactional leadership

- Lack of flexibility
- Focus on short-term goals
- Focus on the structures and policies
- These leaders thrive with rules and processes

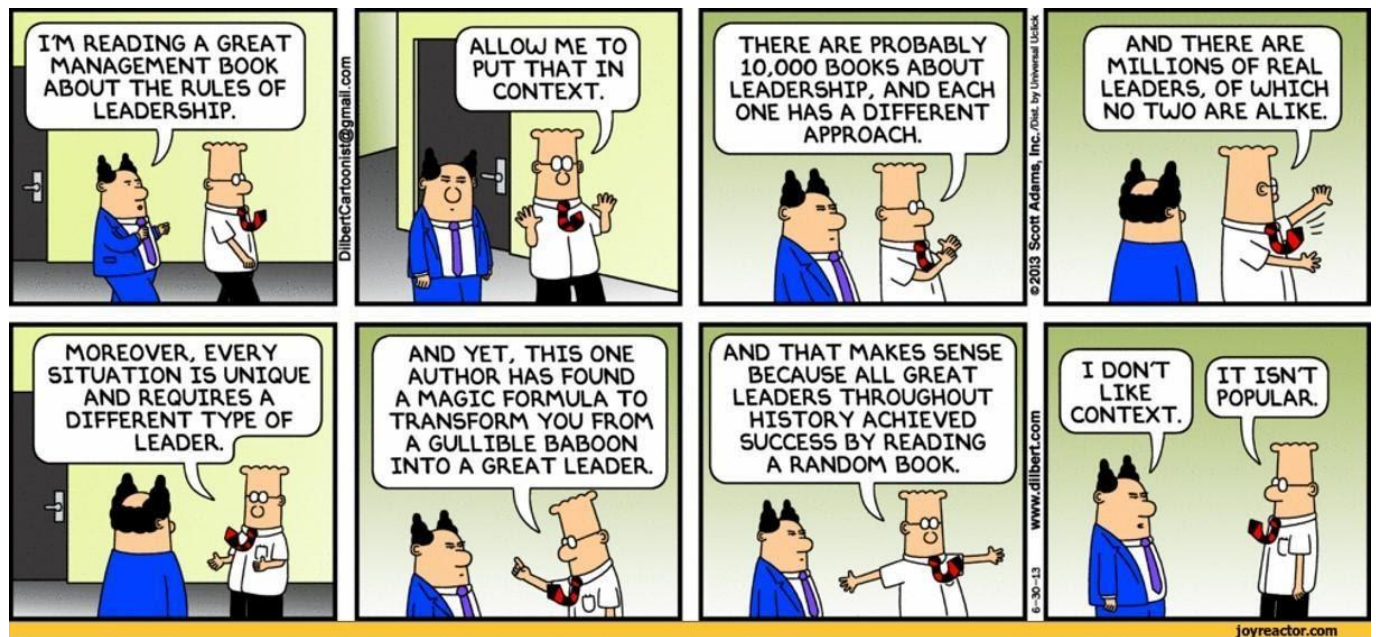
Advantages

- This leadership style reaches goals very quickly
- Everyone in the company knows their goals
- Everyone makes use of the same processes in the company
- Rewards are in place to motivate the employees

Disadvantages

- Employees can be demotivated when they never reach the reward
- Too many processes and systems lack innovation
- Creativity and person growth is not something the company focuses on

Examples of transactional leadership



Transformational leadership

According to (White S. K., 2018)

“Transformational leadership is a leadership style in which leaders encourage, inspire and motivate employees to innovate and create change that will help grow and shape the future success of the company.

This is accomplished by setting an example at the executive level through a strong sense of corporate culture, employee ownership and independence in the workplace”.

“Transformational leaders inspire and motivate their workforce without micromanaging — they trust trained employees to take authority over decisions in their assigned jobs. It’s a management style that’s designed to give employees more room to be creative, look to the future and find new solutions to old problems.

Employees on the leadership track will also be prepared to become transformational leaders themselves through mentorship and training”.

Characteristics of transformational leadership:

- The leader motivates their employees with a vision
- The leader focuses on the development of the employees
- The leaders build a positive company culture that includes all
- The leader offers coaching and mentoring to the employees to help them reach their goals
- The leader focuses on open communication with all

Examples of transformational leaders:

- **“Jeff Bezos, Amazon:** Harvard Business Review attribute’s Bezos’ “insider, outsider” status as part of what makes him a great transformational leader. As someone who jumped from the finance world, he brought a fresh perspective to e-commerce through years of experience in a different industry”.
 - **“Reed Hastings, Netflix:** Hastings tied for first alongside Bezos, and for similar reasons. Hailing from the software industry, he wasn’t rooted in pre-established process and procedure in the television industry”.
 - **“Jeff Boyd and Glenn Fogel, Priceline:** Boyd and Fogel reinvented travel reservations by charging lower commission fees on reservations, but focused on smaller niche markets (inns, B&Bs and apartments), eventually spawning Booking.com”.
 - **“Steve Jobs and Tim Cook, Apple: HBR points to Apple as an example of “dual transformation”:** Jobs innovated on original Microsoft products while also building a software ecosystem. Cook has extended on Jobs’ vision, maintaining a focus on innovation, software and brand loyalty”.
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